**Call centre payroll – Payroll VIP ('VIP')**

| **Weakness (1 mark)** | **Implication (2 marks)** | **Recommendation (2 marks)** |
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| Members of the payroll department spend one or two days a month assisting Human Resources ('HR') staff in processing changes to the employee masterfile. | There is a lack of segregation of duties as a member of the payroll department could have the ability to manipulate data **(1 mark)** such as creating a fictitious employee or making changes to pay rates resulting in fraudulent activity. **(1 mark)** | Only members of HR should have access to the employee Masterfile **(1 mark)** and the ability to make changes to it. **(1 mark)**<br><br>**OR**<br>Any changes processed by payroll department members should be reviewed and authorised **(1 mark)** by a member of the HR team. **(1 mark)** |
| A back up of payroll to the cloud is performed monthly, following processing, but this has not been tested for 13 months. | Data may not be backed up correctly or recoverable from the cloud, **(1 mark)** resulting in incomplete records in the event of a system failure. **(1 mark)** | There should be regular testing of the backup of payroll data **(1 mark)** on a monthly basis. **(1 mark)** |
| A number of staff queried their pay as it had not increased in line with their age resulting in shortfalls in pay being processed at a later date in the year. | SNB could be paying staff less than the mandatory national minimum wage for their age resulting in potential fines or penalties. **(1 mark)**<br>There could be unrecognised liabilities to employees for under-paid wages. **(1 mark)** | HR should generate a monthly report that can be sent to the payroll department notifying them **(1 mark)** of any staff whose pay rates should be amended during the next month due to their age. **(1 mark)** |
| Staff may work on a four-hour shift, but all shifts are automatically logged out of the customer support telephone system ('CST') after eight hours. | If not overridden by the call centre supervisors these staff could be paid for an eight-hour shift, resulting in overpaid salaries **(1 mark)** and overstated payroll. **(1 mark)** | CST should be upgraded **(1 mark)** so that when staff log-in with their staff number the system recognises that the staff member only works four-hour shifts and is therefore automatically logged out after four hours. **(1 mark)** |

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| Although the payroll run is reviewed errors are not always investigated or actioned due to time constraints. | There is a risk that payroll errors or fraudulent payments may go undetected **(1 mark)** resulting in misstatements within the payroll records. **(1 mark)** | Payroll should be appropriately reviewed, by Amanda or Jenny **(1 mark)** with any differences investigated and rectified before being approved. **(1 mark)** |
| No check is performed of the exception report of employees who work more than 48 hours/week to ensure that these employees have waived their rights under UK national legislation. | SNB could be breaching UK employment legislation by allowing staff to work more than 48 hours /week without their permission **(1 mark)** which may result in potential fines or penalties. **(1 mark)** | The exception report should be sent to HR **(1 mark)** to confirm that all employees working more than 48 hours in any week have signed their 'new starter' form as evidence of waiving their rights. **(1 mark)** |